

3900

Total Customers

\$59.76

Avg Spend

43.0%

Promo Dependency

27.8%

Loyal Customers

15.6%

High Value Customers

Promotions Are Not Creating Loyalty

- Promo dependency remains largely unchanged across customer value tiers (41–45%).
- High Value customers exhibit 71.4% loyalty despite similar promotional exposure.
- Risk-tier customers show only 0.2% loyalty despite receiving comparable discounts.
- Discounting appears to subsidize purchases that many loyal customers would make anyway.

Promotions influence transactions but do not appear to be the primary driver of customer loyalty.

The Existing Loyal Core

- Only 15.6% of customers belong to the High Value tier.
- This segment contains 696 loyal customers versus 279 non-loyal customers.
- High Value customers represent the strongest concentration of retention and long-term value.
- These customers spend at or above the overall average spend of \$59.76.

Re-engagement at day 75 is the critical intervention point

Geographic & Growth Opportunities

- Multiple regions demonstrate above-average spend despite only moderate promotional dependence.
- Organic demand exists beyond discount-driven purchasing.
- Risk-tier customers account for 973 non-loyal customers.
- This segment represents the largest opportunity for retention improvement.

Future growth should focus on converting at-risk customers while expanding in organically strong markets.

Ideal Customer Profile

| Attribute          | Value        |
|--------------------|--------------|
| Average Age        | 44.8 yrs     |
| Average Spenditure | \$59.76      |
| Average Review     | 4.13         |
| Promo Dependency   | None         |
| Purchase History   | More than 25 |
| Primary Category   | Accesories   |

Category Findings

Category analysis indicates that Clothing serves as the strongest retention anchor, exhibiting the lowest promotional dependency (42.1%) and accounting for 45.1% of purchases in organic markets. Accessories emerge as the most valuable upsell opportunity, generating the highest lifetime value in organic markets and showing strong affinity among loyal customers. In contrast, Footwear displays higher promotional sensitivity, while Outerwear requires operational investigation due to elevated dissatisfaction levels before being considered for retention-focused growth initiatives.

Segments and Final Recommendations

Customer segmentation reveals a concentrated loyal core within the High Value tier, where customers exhibit 71.4% loyalty despite promotional exposure comparable to other segments. High Value Loyalists should be transitioned toward loyalty-led experiences rather than discounts, while the 973 at-risk non-loyal customers become the primary focus of retention investment. Together, targeted retention, reduced blanket promotions, and acquisition of High Value lookalikes create the strongest path to sustainable growth and improved profitability.